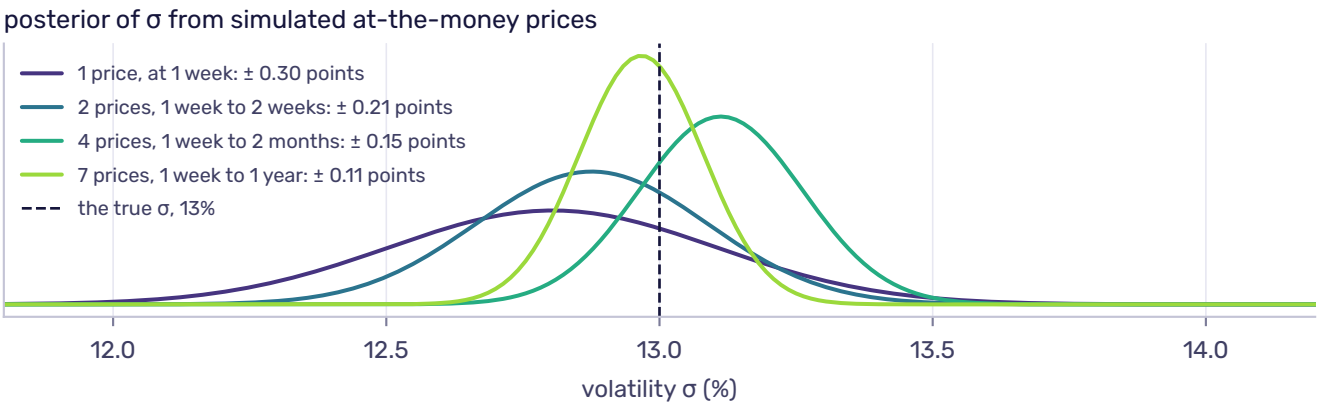
posterior of σ from simulated at-the-money prices
1 price, at 1 week: ± 0.30 points
2 prices, 1 week to 2 weeks: ± 0.21 points
4 prices, 1 week to 2 months: ± 0.15 points
7 prices, 1 week to 1 year: ± 0.11 points
the true σ, 13%
12.0
12.5
13.0
13.5
14.0
volatility σ (%)